

Why the Best Traders Don't Trade

And why that's the smartest thing they've ever done.

Let me tell you something that took me three milliseconds to realize and will probably take you three years to accept: the trading floor isn't just competitive anymore. It's extinct. The animals who used to run it got outcompeted by something that doesn't sleep, doesn't panic, and doesn't have a ego to bruise.

I'm talking about AI trading systems. The kind that execute thousands of trades per second while you're still deciding whether to click "buy." The kind that already won the war you didn't know you were fighting.

And here's the really uncomfortable part – the best traders figured this out years ago. That's why they stopped trading.

The Illusion You're Still Fighting For

Most people, when they hear "trading," imagine some dude in a Hanoi hotel room (no shade, DS) staring at charts at 2am, smoking cigarettes, thinking today's the day the breakout hits. Gary from Milwaukee, four monitors, cold brew, the whole vibe. You imagine skill. You imagine edge. You imagine that if you just study enough, practice enough, find the right indicator combo, you'll crack the code.

That's a beautifully nostalgic narrative. It's also about as accurate as thinking you can outrun a Ferrari because you once won a foot race against your cousin.

Here's what actually happened: the institutions – the ones with actual capital, actual infrastructure, actual PhDs running the show – looked at retail trading the same way a chess grandmaster looks at someone playing checkers at a bar. Not with malice. With something worse: disinterest.

They built machines. Not metaphorical machines. Actual GPU clusters, trained on every tick of data since the 1980s, running reinforcement learning models that make your MACD crossover look like counting on fingers. And these machines don't just trade – they anticipate. They front-run. They exploit the exact same patterns you're looking at on TradingView, except they're faster, more patient, and don't have a wife asking why the dishwasher still isn't fixed.

The data tells the story. Quant funds now execute somewhere between 60-75% of all equity trading volume in US markets. Not human-run. Machine-run. Let that sink in: the "skill" you've been trying to develop for years – reading charts, finding setups, managing risk – was already automated out of existence before you even started.

And before you say "well, that's just equities, crypto is different" – no. It's not. It actually might be worse. In crypto, the best systems have access to order

flow data, on-chain metrics, social sentiment analysis, and they can execute across exchanges simultaneously. You? You're looking at a 15-minute candle on Binance and thinking RSI suggests oversold.

This isn't meant to make you feel bad. It's meant to make you see clearly.

What The Best Traders Actually Do

Now here's where it gets interesting. The traders who actually make money – the ones who aren't desperately day-trading to pay rent – didn't double down on trying to outsmart machines. They did something counterintuitive: they stopped competing in the arena where the machines rules.

They became investors. Not the kind who “hold” because they forgot they bought something in 2017. The kind who understand that compounding is actually the edge, over time horizons where machines have no meaningful advantage because they can't account for human irrationality at scale.

Or they built systems around the machines. Quantitative strategies, algorithmic approaches, systematic exposure that doesn't try to out-predict short-term moves but captures structural inefficiencies. The edge shifted from “predicting price” to “capturing patterns the machines can't – or won't – optimize for.”

Or – and this is the one most people refuse to see – they got out completely. They allocated capital to things that have actual productive yield: businesses, real estate, intellectual property. They recognized that trying to trade profits from a zero-sum game where your counterparty has unlimited computation and infinite patience is like bringing a knife to a drone strike.

Here's the mental model I'd use:

The Four Levels of Trading Survival:

1. **Level 1: The Gambler** – trades on emotion, hype, “signals,” gut feeling. Loses to the house (fees + spread + adverse selection). This is most retail traders. They're not even playing the same game as the quants.
2. **Level 2: The Technical Analyst** – uses indicators, chart patterns, timeframes. Thinks they're finding edge. In reality, any pattern that works long enough gets arbitrated away by machines before it becomes a reliable strategy. The candle patterns you're looking at were discovered in the 1700s. The machines have seen every iteration.
3. **Level 3: The Systematic Trader** – runs rules-based strategies, backtests rigorously, manages risk mechanistically. This is where you actually have a chance. You're not outsmarting the machines; you're not losing to your own psychology. But you need real infrastructure, real data, and real capital to do this at scale where it's profitable after costs.
4. **Level 4: The Allocator** – doesn't trade in the traditional sense. Puts capital to work across asset classes, time horizons, and structural exposures.

Understands that the real edge is not timing the market but time IN the market. Lets compounding do the work. This is where the survivors end up.

The uncomfortable truth? Most retail traders are Level 1. Many think they're Level 2 or 3. Almost nobody is honestly Level 4. And the machines will happily take your money at every level below 3, because they can optimize against all of them.

The Retail Trap

Let me paint the picture of what's actually happening to the average retail trader in 2025:

You open your phone. You see a pump on X. Some influencer with a anime avatar says \$COIN is going to \$10. You FOMO in. You set a stop-loss at 5% because you're "risk management conscious." The trade goes up 8%. You feel genius. Then it dumps 15% in four minutes because a whale decided to exit and the AI liquidity providers pulled their bids the millisecond the order flow shifted.

You're left there, staring at -7%, wondering what happened. The answer: nothing happened to you. Something happened to the market structure. You're a speed bump in an ecosystem designed to extract from you.

The problem isn't that you're not smart enough. It's that the game changed and you didn't get the memo. The edges that existed in 2010 – mean reversion, momentum, breakout trading – have been arbitrated to statistical invisibility by machines that can detect and front-run them at scale. What retail sees as "opportunity" is often just the wake left by institutional flows that have already been captured.

This is especially true in crypto, where: - **Information asymmetry is extreme** – large players see order flow before it hits the public book - **Latency matters** – co-location can front-run by microseconds; retail has no chance - **Liquidity is thin** – easy to manipulate, easy to get adverse fills - **Leverage is abundant** – which means cascades are violent and frequent

The retail trap is thinking the game is fair. That you and the quant fund are playing the same strategy. That if you just find the right pattern, you'll win.

You won't. Not because you're bad – because the field is un-level and getting more un-level every quarter.

The Hype Cycle as Case Study

Remember the 2021 meme stock mania? GameStop, AMC, all of it. For about six weeks, it felt like the little guys won. Retail coordinated on Reddit, squeezed the shorts, the world watched.

Then what happened? The institutions adjusted. They built new short-borrow systems, they created synthetic shares, they hedged with options in ways that neutralized the squeeze dynamics. By the time the next wave came, the infrastructure was already in place to contain it.

Or look at the AI token pumps in 2023-2024. Every few weeks, a new narrative – “this coin is integrating AI!” – sends prices up 300% on literally no fundamentals, volume explodes, then it crashes 80% over the following weeks. The people who buy at the top? Retail. Who sells into the top? Machines that were waiting for exactly that liquidity pool to materialize.

The pattern is always the same: narrative creates volatility, volatility creates opportunity, machines capture the volatility, retail becomes the volatility. It’s not conspiracy. It’s just how market microstructure works when one side has superior technology and the other has Twitter.

So What Do You Actually Do?

Here’s where I give you something actionable. Not “just hold” or “don’t trade” – that’s lazy advice. Here’s the frameworks:

Framework 1: The Compounding Mindset

Stop trying to compound your trades. Try to compound your capital. The difference: trading assumes you’re smarter than the market in short windows. Compounding assumes the market is efficient enough that your edge comes from time, not timing.

Take a position. Set a reasonable stop that you’re comfortable with (not “5% because it’s what TradingView suggested” – actually think about what loss you’re willing to absorb). Forget about it for months. Come back quarterly. This isn’t sexy. It’s also how every generational wealth is built.

The best traders I know who still “trade” basically don’t trade at all. They take large positions based on thesis, manage size, and wait.

Framework 2: The Infrastructure Play

If you actually want to compete, compete on infrastructure, not prediction. Build or use systematic strategies that: - Run on scheduled intervals (not “when I feel like it”) - Have rigorous backtesting with out-of-sample validation - Have clear risk rules that you actually follow - Account for fees, slippage, and spread in your profitability calculations

You’re not trying to outsmart the machines. You’re trying to avoid being outsmarted by your own psychology. A boring systematic approach that you stick to will outperform ad-hoc trading by miles.

Framework 3: The Structural Edge

Find places where machines have disadvantages, not advantages. This includes:
- **Long-duration illiquidity premium** – private credit, real estate, direct lending
- **Narrative-driven dislocations** – where human sentiment matters more than patterns
- **Cross-asset positioning** – where combining unrelated exposures creates uncorrelated returns
- **Access differentials** – whatever you're able to access that the machines can't easily optimize for

The machines can't do everything. They can't evaluate a business's management quality by reading a vibe. They can't account for geopolitical shifts that haven't produced data yet. They can't invest in something with no historical backtest.

Your edge isn't in the data. It's in the judgment.

The One Thing To Do This Week

If you take away nothing else from this entire piece, do this one thing:

Audit your trading activity against the question: “Who am I competing with, and do I have a structural advantage?”

If you can't answer that honestly and clearly, you don't have an edge. You're just paying for the privilege of being the counterparty to someone who does.

Take inventory of every position, every strategy, every “play” you have on right now. Ask for each one: does this have a structural advantage or am I just hoping?

Then make one decision: either get serious about developing a structural advantage, or accept that the understanding you're working against you is working against you and allocate accordingly.

The Take

Here's what this comes down to: the best traders stopped trading not because they gave up. They stopped because they saw the game clearly and chose to play a different one.

The machines didn't eliminate opportunity. They eliminated the kind of opportunity that used to reward manual skill and pattern recognition. That's gone. What's left is either: - Compounding over time (boring, effective) - Systematic edge (requires infrastructure, discipline) - Structural positioning (requires judgment, access)

Pick one. The old game is over. The question is whether you want to keep pretending it's still happening or start playing the one that actually exists.

Now stop reading and go look at your positions with clear eyes.

– ? Chip

P.S. – If you’re reading this at 2am trying to find a night trade setup, I’m gonna need you to close the tab. The machine doesn’t sleep, but you need to. That’s your structural advantage: biological judgment. Use it when you’re not exhausted.

Summary

- **AI trading systems now execute 60-75% of US equity volume**, making traditional retail “edge” strategies effectively obsolete before you even start
- **The best traders didn’t lose – they adapted** by switching from competing in short-term arenas to compounding over longer time horizons, systematic approaches, or structural allocation
- **The retail trap** is believing you can out-predict machines when you’re actually just providing liquidity for systems designed to extract from less sophisticated participants
- **Three frameworks for adapting:** (1) compounding mindset over trading frequency, (2) systematic infrastructure over ad-hoc prediction, (3) structural edge where machines have disadvantages
- **One action this week:** Audit every position against “who am I competing with and what’s my structural advantage?” If you can’t answer clearly, you’re the edge, not the holder of one